FIXED INCOME RESEARCH

November 2 – 6, 2026

US Bond Market Weekly Update

10yr Treasury	2yr Treasury	IG OAS	HY OAS
4.84%	**4.46%**	**93 bps**	**348 bps**
▼ 10 bps MTD	▼ 10 bps MTD	▼ 1 bps MTD	▲ 4 bps MTD

WORD ON THE DESK

Risk assets navigated a complex week as a Democratic midterm sweep reshuffled the policy landscape, keeping fixed income markets on edge heading into a critical inflation print. Rates moved broadly lower across the curve in a disciplined, parallel fashion — a constructive technical signal, though the Fed's renewed hawkish posture tempers any premature enthusiasm about duration extension. Credit spreads told a bifurcated story: investment-grade continued its grind tighter while high-yield showed early signs of softening risk appetite, a divergence worth monitoring closely. Against this backdrop, portfolios with modest duration overweights and a tilt toward higher-quality credit were rewarded, though the interplay between geopolitical risk, energy prices, and the Fed's reaction function argues for maintaining flexibility rather than adding aggressive risk here.

MARKET COMMENTARY

01 The Treasury curve experienced a bull-parallel shift month-to-date through the week ending November 6, with the 2-year yield falling 10 bps to 4.46% and the 10-year falling an equal 10 bps to 4.84% [DATA: as of 2026-11-05], leaving the 2s10s spread unchanged at 38 bps — precisely where it began the month (4.94% – 4.56%). The 30-year yield declined to 5.25% [DATA: as of 2026-11-05] from a month-start level of 5.31%, while the 20-year moved to 5.27% from 5.34%, likewise consistent with a broad, non-shape-changing rally across the curve.

→ The parallel nature of the move is notable: absent any meaningful curve steepening or flattening, the market is pricing broad rate relief rather than a regime shift in term premium or growth expectations.

→ Year-over-year comparisons remain stark — the 2-year is 89 bps above its year-ago level of 3.57%, and the 10-year is 73 bps above 4.11%, underscoring how much the rate-hiking cycle has reset the opportunity set for fixed income investors.

02 Inflation and macro data remain the dominant near-term catalyst, with October CPI closely watched for further guidance on the Fed's rate path. The late-breaking Democratic midterm sweep on November 6 added a new dimension to the macro calculus, as investors began reassessing how a shifted political landscape might influence U.S. policy toward the Iran conflict, energy prices, and ultimately the trajectory of inflation — all variables the Fed is tracking with heightened sensitivity.

→ Energy price dynamics tied to Middle East policy are particularly salient: any escalation or de-escalation in the Iran conflict could move oil meaningfully and feed directly into headline CPI prints in the months ahead.

→ The midterm outcome arrives at a moment when bond market participants are already in a delicate balancing act between sticky inflation data and early signs of demand softening — a political shift that clouds energy policy adds to that uncertainty premium.

03 Fed communications this week carried a distinctly hawkish undertone. Fed Chair Kevin Warsh, speaking on November 6, signaled that additional rate hikes remain on the table, with the FOMC's latest policy statement employing language indicating the Committee will continue accumulating information to determine the appropriate

policy stance to return inflation to target. Vice Chair for Supervision Michelle Bowman delivered two scheduled addresses on November 5, adopting a neutral tone — her remarks were procedural in nature and did not add incremental directional guidance on the rate path.

→ Chair Warsh's hawkish framing is consequential: markets that had priced in a pause scenario may need to recalibrate, particularly if the upcoming CPI print surprises to the upside.

→ The divergence between Warsh's hawkish posture and Bowman's neutral tone reflects the range of views within the Committee and argues against assuming consensus on the pace of further tightening.

04 Investment-grade corporate credit continued to outperform on a spread basis, with the IG OAS tightening 1 bp month-to-date to 93 bps [DATA: as of 2026-11-05], and MTD total returns for IG corporates reaching +0.52% [DATA: as of 2026-11-05], driven in large part by the parallel rally in underlying Treasuries. Supply technicals remained a watchpoint, as the IG primary market has historically seen robust November issuance volumes as corporate treasurers front-run year-end liquidity windows; any demand softening from the geopolitical uncertainty could test spread resilience at current tight levels.

→ At 93 bps, IG OAS sits meaningfully inside long-run historical averages, leaving limited cushion if rate volatility re-accelerates or risk sentiment deteriorates on inflation surprise.

→ The 1 bp MTD tightening is modest but directionally constructive, suggesting that institutional demand for high-quality carry has remained firm even as the macro backdrop grew noisier through the week.

05 High-yield credit showed early cracks in risk appetite this week, with HY OAS widening 4 bps month-to-date to 348 bps [DATA: as of 2026-11-05], moving in the opposite direction of investment-grade and flagging a subtle but meaningful divergence in how the market is pricing credit risk across the quality spectrum. MTD total returns for HY corporates came in at +0.36% [DATA: as of 2026-11-05], positive in absolute terms but lagging IG — a pattern consistent with investors preferring duration-driven gains in higher-quality paper over spread compression in lower-rated credits.

→ The 4 bp MTD widening in HY OAS, while not alarming in isolation, warrants monitoring in the context of a hawkish Fed pivot and geopolitical uncertainty that could weigh on commodity-linked and energy-exposed HY issuers.

→ With HY spreads at 348 bps, there is more carry than in IG, but the asymmetry of risk — particularly if oil price volatility picks up post-election — argues for selectivity rather than broad beta exposure in the high-yield space.

06 Agency MBS and broader securitized credit data were not included in this week's validated data payload, precluding direct citation of spread or return levels for those sectors. However, in the context of a 10 bp bull-parallel Treasury rally, agency MBS would typically see prepayment-related extension risk diminish modestly at the margin, though current coupon MBS remain challenged by rates that are still substantially above the embedded coupons of much of the outstanding stock — limiting meaningful prepayment acceleration.

→ The geopolitical and inflationary uncertainty flagged by this week's midterm outcome may keep rate volatility (OAS-embedded option cost) elevated for agency MBS, potentially capping spread performance relative to similarly-rated corporate alternatives.

→ Investors seeking higher-quality carry with less convexity noise may continue to find IG corporates more straightforward to position around than agency MBS until rate volatility compresses.

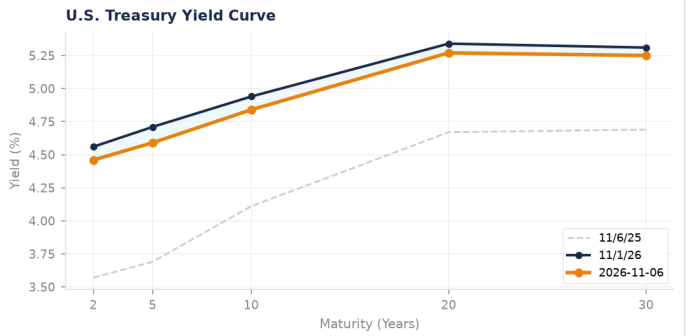
07 The Democratic sweep in U.S. midterm elections on November 6 — the week's most significant late-breaking event — immediately redirected investor focus toward the interplay of Middle East conflict exposure, oil price trajectories, and near-term rate-hike prospects, with bond markets ending the week in a posture of cautious recalibration. The market impact was visible in the reassessment of rate expectations: a political outcome that may alter U.S. engagement with the Iran conflict carries direct implications for energy prices and, by extension, the inflation data the Fed is explicitly referencing as the basis for further tightening.

→ The timing is critical — October CPI data, expected imminently, will be interpreted through the new political lens, with any upside surprise in energy-driven headline inflation potentially accelerating the rate-hike narrative Chair Warsh reinforced this week.

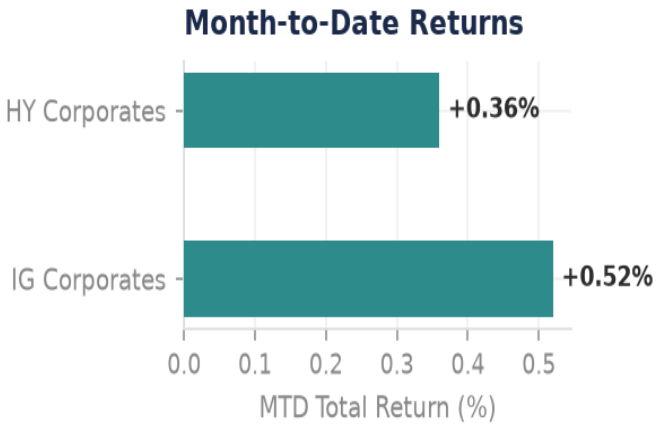
→ Portfolio managers should be alert to the possibility that the midterm outcome, combined with an adverse CPI print, could unwind a portion of this week's bull-parallel Treasury rally quickly — keeping duration adds measured and hedged is prudent at this juncture.

08 ■■ QA flags present — human review required before trusting figures.

MARKET DATA



	2yr	5yr	10yr	20yr	30yr
Yield (%)	4.46	4.59	4.84	5.27	5.25
MTD (bps)	-10	-12	-10	-7	-6



Sector	OAS (bps)	MTD Chg
IG Corporate	93	-1
HY Corporate	348	+4

DATA SOURCES

Series	Value	As Of	Source
2yr Treasury	4.46%	2026-11-05	FRED:DGS2
5yr Treasury	4.59%	2026-11-05	FRED:DGS5
10yr Treasury	4.84%	2026-11-05	FRED:DGS10
20yr Treasury	5.27%	2026-11-05	FRED:DGS20
30yr Treasury	5.25%	2026-11-05	FRED:DGS30
IG OAS	93.0 bps	2026-11-05	FRED:BAMLC0A0CM
HY OAS	348.0 bps	2026-11-05	FRED:BAMLH0A0HYM2
IG Corporates MTD Return	+0.52%	2026-11-05	FRED:BAMLCC0A0CMTRIV
HY Corporates MTD Return	+0.36%	2026-11-05	FRED:BAMLHYH0A0HYM2TRIV